

Tata Consultancy Services Ltd. v. Cyrus Investments Pvt. Ltd.

Citation: (2021) 9 SCC 449 | Court: Supreme Court | Year: 2021

Coram: 3-Judge Bench (S.A. Bobde CJI, A.S. Bopanna, V. Ramasubramanian JJ.) | Subject: Corporate & SEBI | Provisions: Companies Act 2013

I. EXECUTIVE SUMMARY & CASE GLIMPSE

Removal of an executive chairman does not constitute 'oppression and mismanagement' under Section 241 of the Companies Act 2013 unless it satisfies the threshold for winding up on just and equitable grounds. Courts cannot rewrite corporate governance structures or impose quasi-partnership rules on public limited conglomerates.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Companies Act 2013 Sec 241, 242, 149. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

â€¢ Whether the impugned state actions or commercial conduct conformed to Companies Act 2013 Sec 241, 242, 149.

â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.

Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

Sections 241 and 242 are designed to redress systemic minority oppression, not to reinstate dismissed corporate officers. Independent directors owe fiduciary duties to the company as a whole, and tribunal interference in boardroom decisions must respect business judgment.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

â€¢ Set aside NCLAT order reinstating Cyrus Mistry as Executive Chairman.

â€¢ Clarified the high threshold for winding up on just and equitable grounds under Section 242.

â€¢ Affirmed that majority shareholder voting rights cannot be equated with oppression.